

Organizational Culture

Objectives:

1. To describe what is organizational culture
2. To appreciate the importance organizational culture
3. To enumerate the dimensions and levels of culture
4. To list activities that can change organizational culture

What is an Organization's culture?

- A shared pattern of beliefs, assumptions and expectations held by organization members.
- Often called an organization's personality
- Informs us of what to believe, how to act and make decisions
- Guides members in how to perceive the artifacts, environment, norms, roles, values and physical cues
- The strategy, leadership style and ways of accomplishing tasks reflect organization culture

Why is this topic important?

- Helps you assess career opportunities and how you might fit into an organization
- Helps you assess how to succeed within an organization or whether it is possible

Characteristics of cultures

- Collective, evolves over time (thin to thick)
- Results from interaction by organizational members
- Reflects what members agree about
- Can create social order
- Helps members construct proper attitudes and behaviors
- Contributes to socialization of new members
- Enhances member feeling of belonging and commitment.

Diagnosing Organizational Culture - Three factors determine how influential a culture will be in shaping attitudes and behaviors

- **Strength of shared beliefs.** The stronger the beliefs, the stronger the culture, exists on a continuum from thick to thin
- **Widely shared values,** across organizational members have a powerful effect. Exists on a continuum from widely shared to not widely shared
- **Clearly ordered values and beliefs,** that are easy to adhere to and guide behavior in conflict situations, exists on a continuum from clearly ordered to ambiguous

Deciphering an Organizations Culture

- Highly interpretive and subjective
- Requires insights into historical and current activities
- Cannot rely on what is verbally reported, need to verify
- Start with values, the essence of organizational philosophy
- Managerial culture is defined by the leadership style
- Organizational heroes personify the value system
- Rites and rituals are reflected by language and ceremonies
- Cultural symbols are the material artifacts

WHY DOES ORGANIZATIONAL CULTURE MATTER?

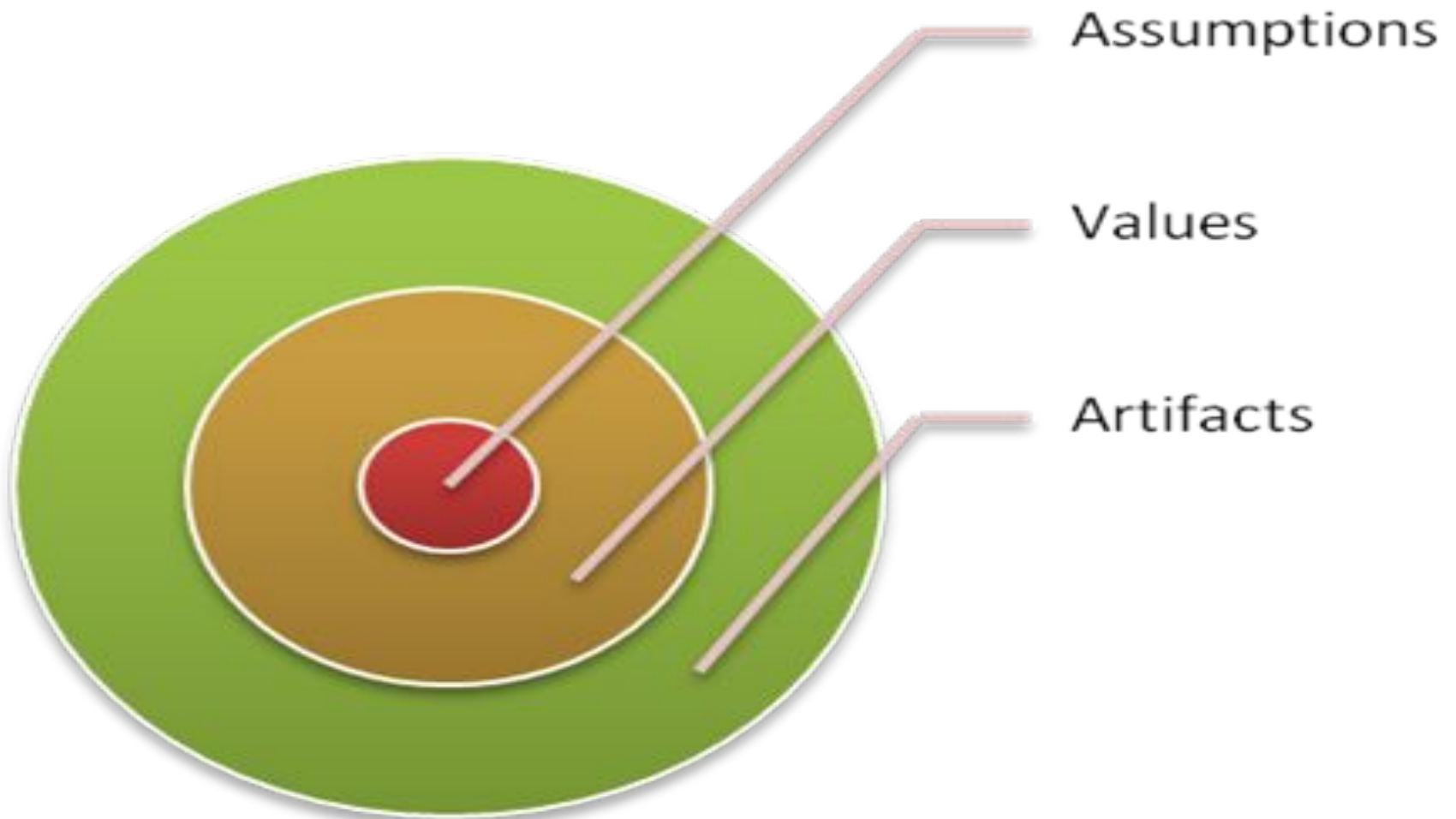
An organization's culture may be one of its strongest assets or its biggest liability

Organizational culture is an effective control mechanism dictating employee behavior

Culture, or shared values within the organization, may be related to increased performance

Organizations which have a rare and hard to imitate culture may enjoy a competitive advantage

THREE LEVELS OF ORGANIZATIONAL CULTURE



Basic
assumptions lie
below awareness.
Assumptions are
taken for granted,
and reflect beliefs
about human
nature and reality

At the second
level, **values** exist.
Values are shared
principles,
standards, and
goals

Artifacts are on
the surface, or
visible, tangible
aspects of
organizational
culture

Dimensions of Culture

Outcome-oriented cultures

- A culture that emphasizes achievement, results, and action as important values

Stable Cultures

- Companies that are stable are predictable, rule-oriented, and bureaucratic

People-oriented cultures

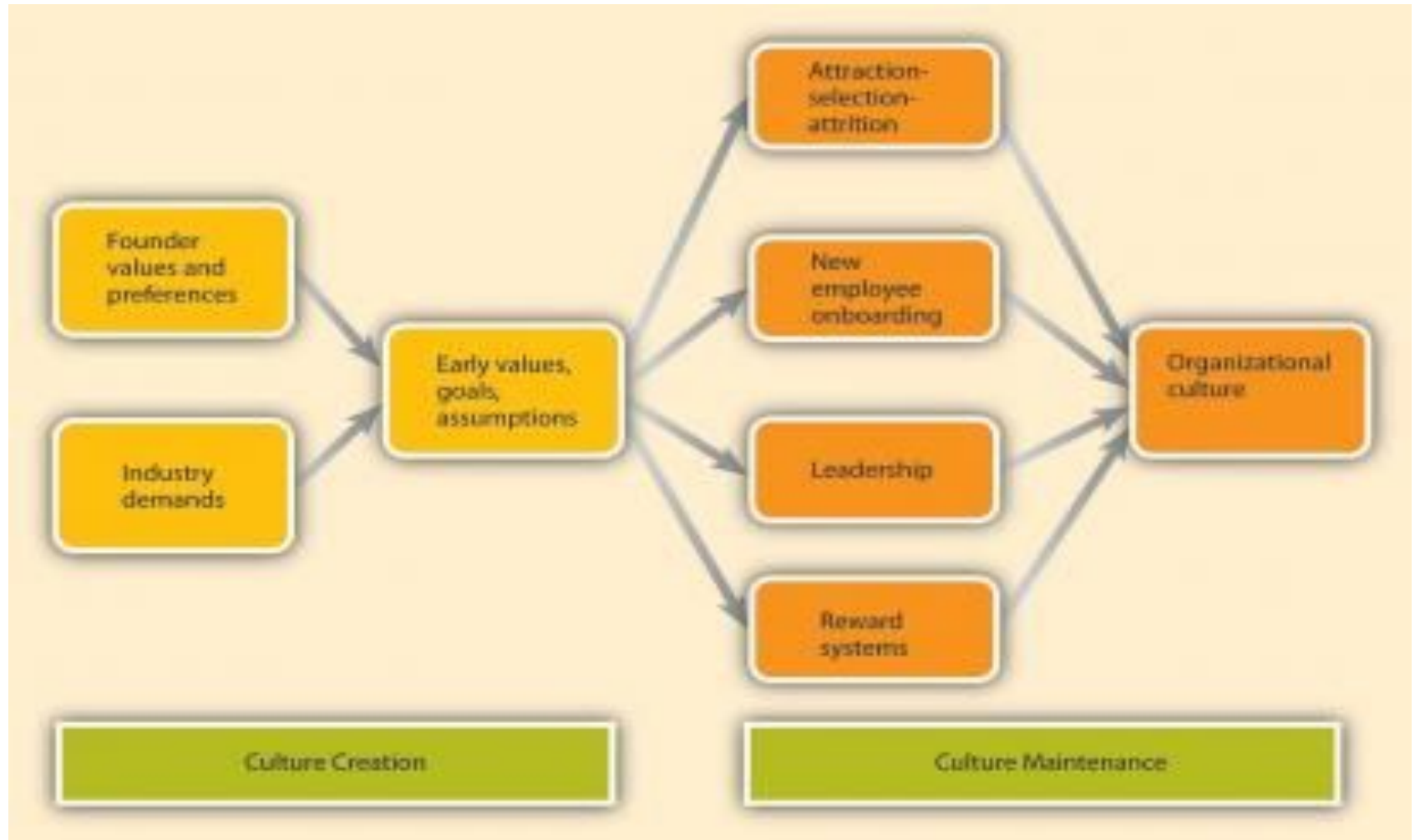
- These organizations value fairness, supportiveness, and respecting individual rights

Challenges of a Strong Culture

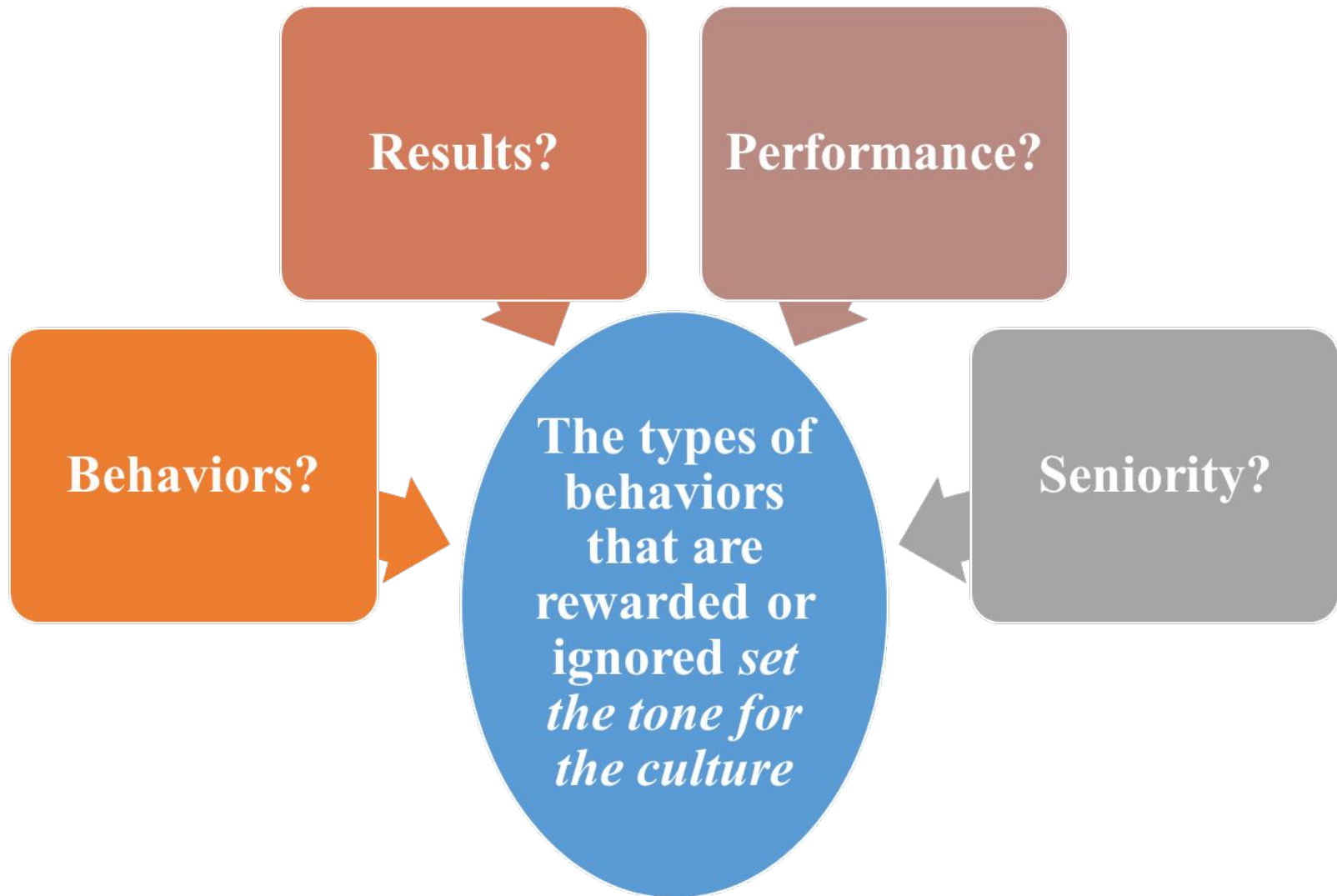
Difficult to change

Can be a liability during a merger as each separate culture must merge together

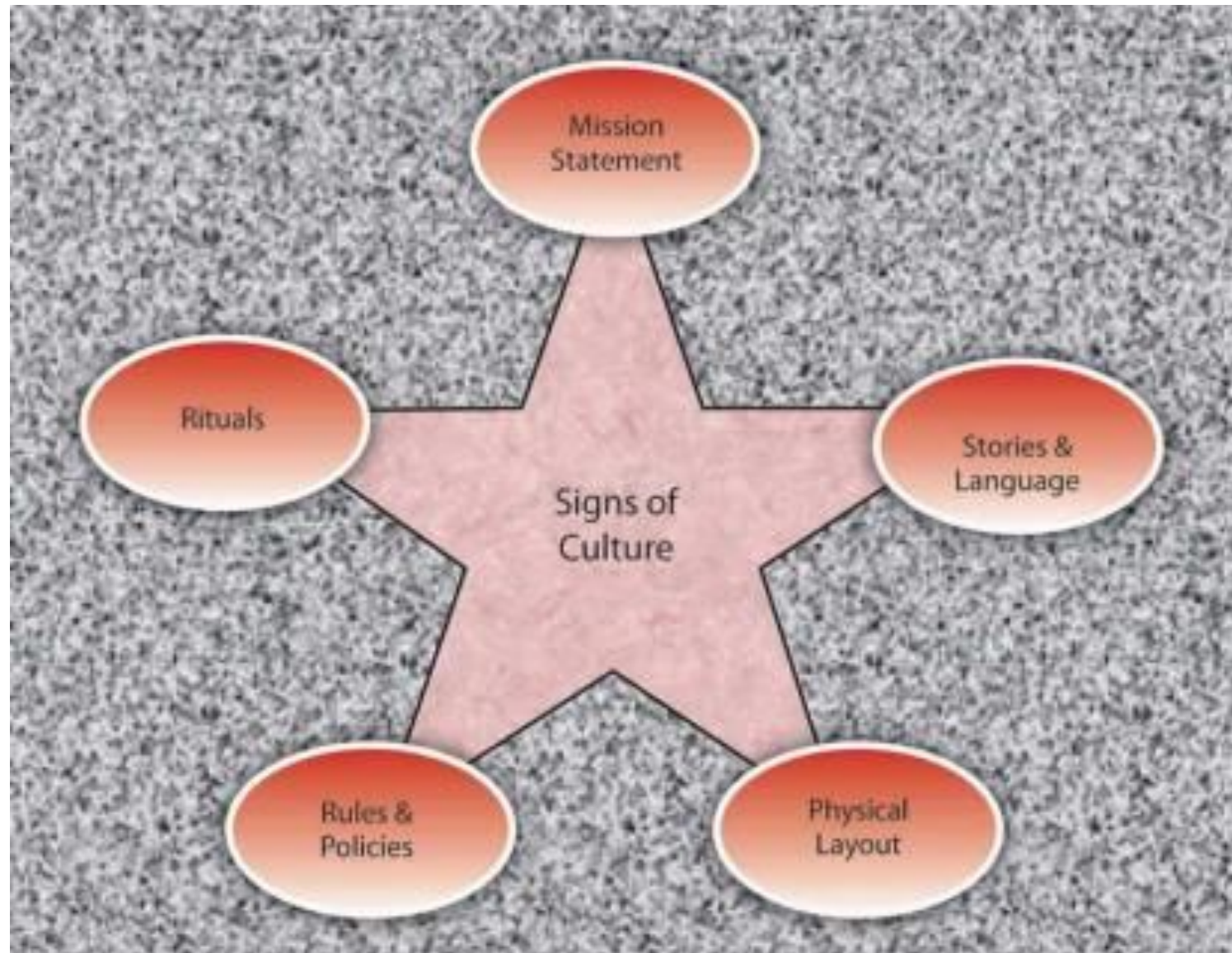
Creating and Maintaining Organizational Culture



Rewards Influence Culture



Visual elements of culture



Steps to Changing Established Cultures

